

Reversal (R), continuation (C) occurrence. Most of the time, a flag acts as a continuation of the prevailing very short-term price trend. Flags in bull markets with downward breakouts see the most reversals, but continuations still outnumber reversals.

Reversal/continuation performance. The best performance comes from flags in bear markets after downward breakouts that act as continuations. That means price is already dropping before the flag appears.

Because a rising tide lifts all boats, I would expect to see continuation flags in bull markets with upward breakouts also do well. But they perform the same as in bear markets. *Sigh.*

Average rise or decline. If you ignore how the pattern behaves (reversal or continuation) and measure the move from the breakout to the trend end, we see what I consider unusual results. Again, I'm looking for the general market to help performance, but I don't see it (trade with the trend). That would apply to bull markets with upward breakouts (second to worst in performance) and bear markets with downward breakouts (perform best).

Standard & Poor's 500 change. Compare the general market rise or decline by the rise or decline after the flag breakout. Perhaps the large drop in the index in bear markets/down breakouts helped those flags outperform the others.

Days to trend high or low. Because I'm looking for the trend end (and not the ultimate high or low), it's a short time away. Notice that bull market/up breakouts and bear market/down breakouts show slightly longer trends. Those two are the “trade with the trend” columns. The middle two columns are countertrend patterns.

I removed **Table 34.3** showing failure rates because they don't apply to flags. Failure rates are a function of the move to the ultimate high or low and flags measure to the short-term trend end.

[Table 34.4](#) shows breakout-related statistics. You'll notice that throwbacks and pullbacks do not appear in the table. That's because they happen after the trend ends by definition and so don't relate to the performance of the flag.

Breakout direction. The table shows the breakout direction. A breakout occurs when price closes outside of the flag boundary.